

Order-to-Cash

(O2C) — Complete Sales Cycle

SAP Sales & Distribution (SD) · End-to-End Process Documentation

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Module: SAP SD — Sales & Distribution

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1. Problem Statement

In companies that manage B2B sales manually, the Order-to-Cash (O2C) process is fragmented — Sales, Warehouse, and Finance teams work in silos, causing delayed invoicing, stock errors, and unmatched payments. This project demonstrates how SAP SD resolves these gaps by integrating the entire O2C cycle in one system for a fictitious company, TechNova Electronics Pvt. Ltd.

- No real-time order visibility — duplicate or missed orders across teams
- Manual price quoting leads to revenue leakages and billing disputes
- Warehouse dispatches goods without updated stock records in Finance
- Invoices created manually from delivery reports — error-prone and slow
- No automated matching of customer payments against specific invoices

2. Company Setup

Company / Code	TechNova Electronics Pvt. Ltd. (TNPL)
Sales Area	TNSO / 10 (Direct Sales) / 00 (Cross Div.)
Plant / Storage Loc.	TN01 — Bangalore / SL01 — Main Warehouse
Customer	Cust-001 — Horizon Retail Solutions, Kolkata
Material	MAT-LPT01 — Laptop Pro X1 (50 units @ ₹55,000)
Total Invoice Value	₹32,45,000 (incl. 18% GST)

3. Tech Stack

ERP Platform	SAP ECC 6.0 / SAP S/4HANA
Primary Module	SAP SD (Sales & Distribution)
Integrated Modules	SAP FI (Finance) + SAP MM (Materials Mgmt.)
Key T-Codes	VA11, VA21, VA01, VL01N, VL02N, VF01, F-28, FBL5N
Master Data	XD01 (Customer) · MM01 (Material) · VK11 (Price)
Reporting	VA05 (Open Orders) · VF05 (Billing List) · FBL5N

4. Step-by-Step O2C Process with Screenshots

Step 1 — Inquiry (VA11) & Step 2 — Sales Order (VA01)

Inquiry INQ-0001 was created in VA11 for 50 units of MAT-LPT01 (₹55,000/unit). The customer confirmed the quotation, and Standard Sales Order 1000001 was created in VA01 with reference. The availability check showed green — stock confirmed at TN01.

The image shows two side-by-side screenshots of SAP transaction screens. The left screen is VA11 (Inquiry) and the right screen is VA01 (Sales Order).

Fig 1: VA11 — Inquiry INQ-0001

Sales Area Data:

Sales Organization *	Distribution Channel *	Division *
TNSO	10	00

Header Data:

Sold-to Party *	Inquiry Date	Valid From	Valid To
Cust-001	16.04.2026	16.04.2026	30.04.2026
Your Reference	Req. Delivery Date		
HR-PO-2026-001	25.04.2026		

Item Overview:

Item	Material	Description	Order Qty	UoM	Net Price	Amount
10	MAT-LPT01	Laptop Pro X1	50	EA	55,000.00	27,50,000.00

Fig 2: VA01 — Sales Order 1000001

Order Header:

Order Type	Sales Organization	Dist. Channel	Division
OR	TNSO	10	00

Sold-to / Ship-to:

Sold-to Party	Ship-to Party
Cust-001: Horizon Retail Solutions	Cust-001: Horizon Retail Solutions, Kolkata

Item Overview:

Item	Material	Description	Order Qty	UoM	Net Price	Value	Plant
10	MAT-LPT01	Laptop Pro X1	50	EA	55,000.00	27,50,000	TN01
						Net Value:	27,50,000.00 INR

Fig 1: VA11 — Inquiry INQ-0001

Fig 2: VA01 — Sales Order 1000001

Step 3 — Outbound Delivery (VL01N) & Step 4 — Post Goods Issue (VL02N)

Outbound Delivery 8000001 was created in VL01N against SO 1000001, with Storage Location SL01 assigned. PGI was posted in VL02N — stock reduced by 50 units automatically, and FI Document 1400001 (COGS entry) was created.

The image shows two side-by-side screenshots of SAP transaction screens. The left screen is VL01N (Outbound Delivery) and the right screen is VL02N (Post Goods Issue).

Fig 3: VL01N — Delivery 8000001

Delivery Header:

Shipping Point	Selection Date	Sales Order
TN01	25.04.2026	1000001

Delivery Details:

Delivery Type	Ship-to Party	Planned GI Date
LF	Cust-001	24.04.2026
Delivery Date	Route	
25.04.2026	R0001: Bangalore-Kolkata	

Item Overview:

Item	Material	Description	Delivery Qty	UoM	Batch	SLoc	Status
10	MAT-LPT01	Laptop Pro X1	50	EA	—	SL01	Ready

Fig 4: VL02N — Goods Issue Posted

Delivery Header — 8000001:

Ship-to Party	Actual GI Date
Cust-001: Horizon Retail Solutions	24.04.2026

Item Overview — Goods Issue Confirmation:

Item	Material	Description	Delivery Qty	GI Qty	UoM	SLoc	Batch
10	MAT-LPT01	Laptop Pro X1	50	50	EA	SL01	—

Goods Movement Posted Successfully
Material Document: 4900001 | FI Document: 1400001 | Stock reduced: 50 EA at TN01/SL01

Fig 3: VL01N — Delivery 8000001

Fig 4: VL02N — Goods Issue Posted

Step 5 — Invoice / Billing (VF01) & Step 6 — Document Flow (VA03)

Invoice 9000001 (Billing Type F2) was created in VF01 against Delivery 8000001. Total value: ₹32,45,000 (incl. GST). On save, SAP auto-posted FI entry: Dr. Accounts Receivable / Cr. Revenue. The Document Flow in VA03 confirms the complete O2C chain is linked.

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VF01 ✓ ✕ □ □ □ □ □ □ □ □

Create Billing Document — Invoice F2

Billing Header

Billing Type: F2 Invoice Billing Date: 24.04.2026 Reference (Delivery): 8000001

Header Partner

Sold-to Party: Cust-001 Horizon Retail Solutions Payer: Cust-001

Item Overview

Item	Material	Description	Billed Qty	Unit	Net Price	Tax	Amount
10	MAT-LPT01	Laptop Pro X1	50	EA	55,000.00	18%	27,50,000

Net Value: 27,50,000.00 INR
GST (18%): 4,95,000.00 INR
Total Amount: 32,45,000.00 INR

Save

● Invoice 9000001 has been saved and released to Accounting

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VA03 ✓ ✕ □ □ □ □ □ □ □ □

Document Flow — Sales Order 1000001

Document Flow | Order: 1000001 | Customer: Cust-001 Horizon Retail Solutions

Document Description	Number	Date	Status
Inquiry	INQ-0001	16.04.2026	Completed
↳ Quotation	QT-0001	16.04.2026	Completed
↳ Sales Order	1000001	16.04.2026	Completed
↳ Outbound Delivery	8000001	24.04.2026	Goods Issued
↳ Material Document	4900001	24.04.2026	Posted
↳ FI Doc (COGS)	1400001	24.04.2026	Posted
↳ Invoice (F2)	9000001	24.04.2026	Completed
↳ FI Doc (AR,Rev)	1500001	24.04.2026	Posted
↳ Payment	1600001	21.04.2026	Cleared

● All documents in flow — O2C cycle complete

Fig 5: VF01 — Invoice 9000001

Fig 6: VA03 — Full Document Flow

Step 7 — Incoming Payment & Clearing (F-28 / FBL5N)

Payment of ₹32,45,000 was posted against Invoice 9000001 using F-28. FBL5N confirms the open item is now fully cleared with balance 0.00 INR — the O2C cycle is complete.

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FBL5N ✓ ✕ □ □ □ □ □ □ □ □

Customer Line Item Display — Cust-001

Selection Criteria

Customer Account: Cust-001 Company Code: TNPL Open Items at: 21.04.2026 **Execute (F8)**

Customer Line Items — All Cleared Items

St	Doc No	Type	Doc Date	Due Date	Amount	Curr	Clrng Doc	Text
✓	9000001	RV	24.04.2026	24.05.2026	32,45,000.00	INR	1600001	Invoice F2 - LPT01
✓	1600001	DZ	21.04.2026	21.04.2026	-32,45,000.00	INR	1600001	Incoming Payment

Balance = 0.00 INR | Invoice 9000001 CLEARED against Payment 1600001

● FBL5N: 2 line items selected — Balance 0.00 INR (Fully Cleared)

Fig 7: FBL5N — Invoice cleared, balance = ₹0

5. Unique Points

SD–MM Integration

Post Goods Issue in VL02N directly reduces MM inventory in real time — no separate MM transaction needed. Verified via MB52 after PGI.

SD–FI Integration

Saving the billing document in VF01 auto-creates the FI journal entry (AR debit + Revenue credit) using Account Determination (VKOA). Zero manual intervention in Finance.

Pricing Condition Technique

The price of ₹55,000 is not hardcoded on the order. It is pulled from condition record VK11 (PR00) based on Sales Org + Material. Updating VK11 applies new prices to all future orders automatically.

Full Audit Trail via Document Flow

VA03 shows every linked document — Inquiry → Quotation → Sales Order → Delivery → Invoice → Payment — in one view. This makes reconciliation and dispute resolution instant.

6. Future Improvements

- Returns Process (RE / G2): Add Returns Order, Return Delivery, and Credit Memo to handle the reverse O2C flow.
- Credit Management (FD32): Set dynamic credit limits per customer so orders are auto-blocked when outstanding exceeds the limit.
- EDI / IDoc Integration: Automate Sales Order creation by receiving customer POs electronically, removing manual VA01 entry.
- SAP Fiori Self-Service: Customer portal to place orders, track delivery, and download invoices in real time.
- Analytics (SAC Dashboard): KPI dashboards for Order Fulfilment Rate, Days Sales Outstanding, and Revenue by Product.

Declaration

I hereby declare that this Capstone Project Report titled "Order-to-Cash (O2C) — Complete Sales Cycle using SAP SD" is my own original work, prepared independently based on my learning during the SAP SD training program at KIIT. The screenshots included in this report were taken during my hands-on practice on the SAP system. I have not copied this work from any peer, senior, or internet source.

I understand that plagiarism will result in zero marks and I take full responsibility for the originality of this submission.

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